Version 07.25

Singapore Estate Agents Association

Lessons 17 & 18

Property Finance & Financial Calculations

* For online Zoom lessons, trainers may have their own additional slides on top of the given set for further illustration to students to aid them in their online lesson. Students will be responsible to write down, screenshot or take pictures of those additional slides/notes on their own. Those additional slides/notes will not be provided by SEAA.*

Main Sources of Financing for Purchasing Property

Purchase a property → Payment to look out

1. Housing loan repayments
2. Conservancy charges / management fee
3. Fire insurance
4. Stamp Duties
5. Property Tax
6. Home Protection Scheme (HPS) Insurance
   - Mortgage-reducing insurance
   - Mandatory for using CPF savings to service HDB loan

Financial Institutions:

1. Commercial bank
2. Finance companies
3. Insurance companies
4. Real Estate Investment Trusts

Non-financial institutions:

1. HDB
2. CPF

Calculating Mortgage Payment – Using Formula & Scientific Calculator

Formula: $$M = P\frac{i}{1-(1+i)^{-N}}$$

M – Monthly Instalment
P – Principal Amount (Borrowed)
i – Monthly Interest Rates
N – Loan Tenure

Example 1 – Formula & Scientific Calculator

United Overseas Bank lends Tom $500,000 for an interest rate of 1.6% per annum with 30 years loan tenure. Calculate the monthly repayment amount.

$$M = (500{,}000)\frac{\frac{0.016}{12}}{1-(1+\frac{0.016}{12})^{-(30\times 12)}}$$

$$= (500{,}000)\frac{0.00133333}{1-(1.00133333)^{-360}}$$

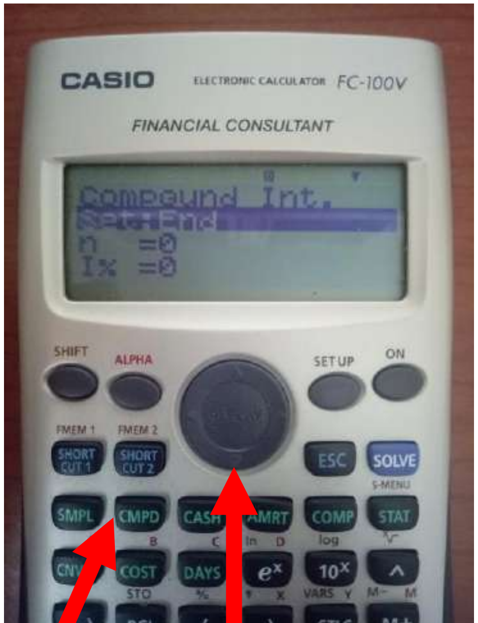
$$= \frac{666.665}{1-(0.618982)}$$

$$= \$1749.69$$

Calculating Mortgage Payment – Using Financial Calculator – Casio FC-100V

Example 2 – Using Financial Calculator

United Overseas Bank lends Tom $500,000 for an interest rate of 1.6% per annum with 30 years loan tenure. Calculate the monthly repayment amount.



Step 1

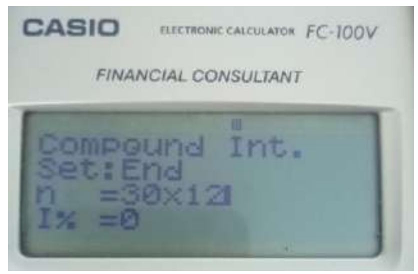
CMPD

Press Arrow to go next

Step 2

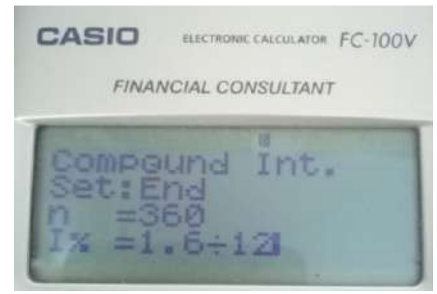
Key In these information

n = 30 x 12 → Press EXE



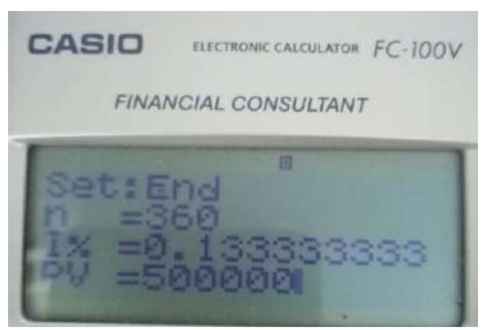
Step 3

I% =1.6 / 12 → Press EXE



Step 4

PV = 500000 → Press EXE

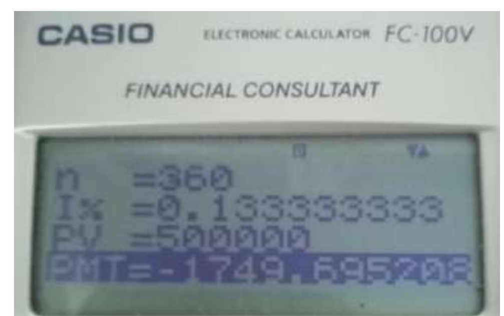


Step 5

Solve

Answer:

-1749.695



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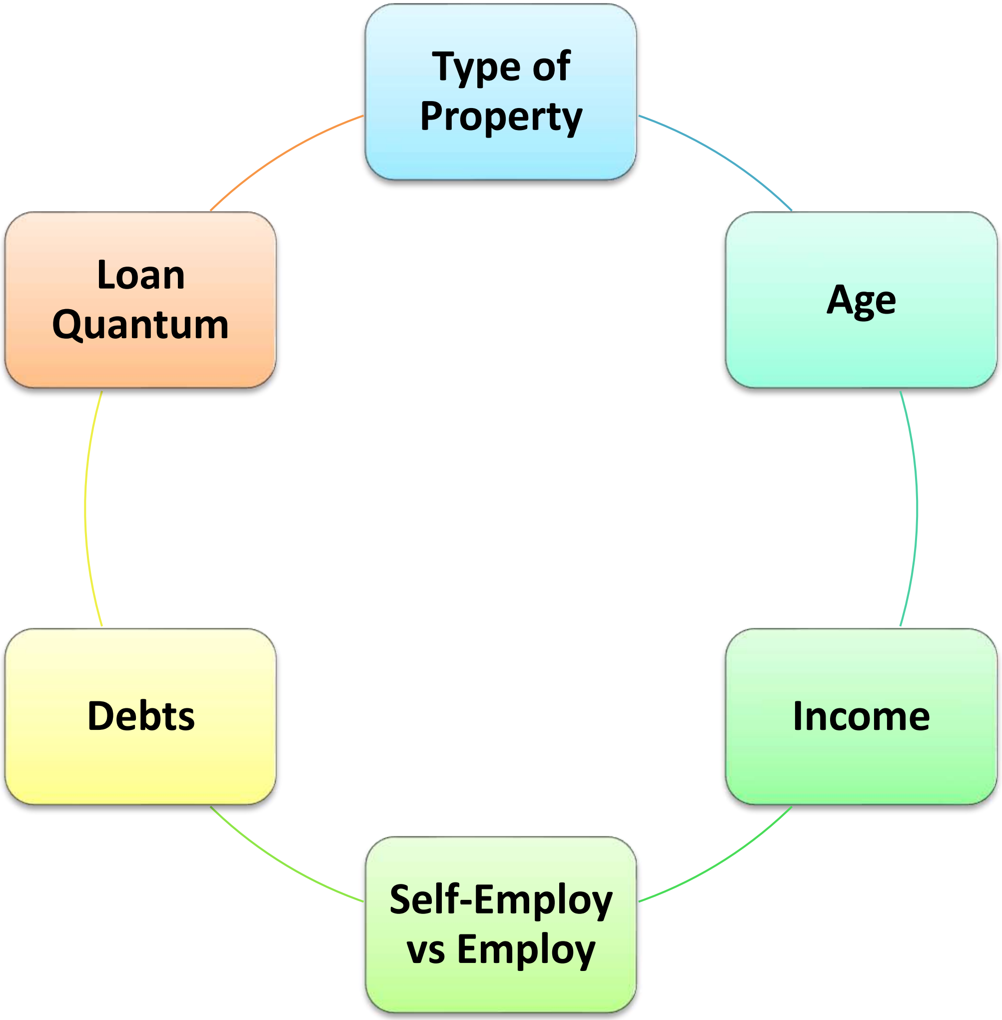
Qualifying Factors for a Mortgage Loan

How does a borrower qualify for a mortgage loan ? Borrower depends on these factors:



Loan Quantum is based on MAS Mortgage Loan Rules - With effect 16th December 2021

Buyer - An Individual Borrower	**Private Residential Property** Loan Tenure	1st Housing Loan	2nd Housing Loan	3rd Housing Loan
Loan to Value Limit	**≤ 30 Years** Or Based on formula: **65 years - buyer's income weighted average age**	**75%**	**45%**	**35%**
	31 to 35 Years Or Based on formula: Loan Tenure extends beyond age 65 years old	**55%**	**25%**	**15%**
Minimum Cash Layout		**5%** based on **75%** LTV	**25%**	
		10% based on **55%** LTV		
		Any number of property loan		
Loan To Value - Company		**15%**		

Bank Loan – HDB Flats - With effect 16th December 2021

HDB Bank Loan Tenure	Loan Ceiling
≤ **25 years**	**75%**
> **25 years**, or loan period extends beyond borrower's age of 65	**55%**

Mortgage Loan Rules - Buyer's Income Weighted Average Age

$$\text{Income Weighted Average Age} = \left(\frac{\text{Buyer A's Income}}{\text{Total Income}} \times \text{Buyer A Age}\right) + \left(\frac{\text{Buyer B's Income}}{\text{Total Income}} \times \text{Buyer B Age}\right)$$

Example 1

Husband's age	=	45 years old	Income =	$7500 per month
Wife's age	=	30 years old	Income =	$2500 per month

Income Weighted Average Age $= \left(\frac{7500}{10000} \times 45\right) + \left(\frac{2500}{10000} \times 30\right)$

= 33.75 + 7.5

= 41.25 years old

Therefore, maximum loan tenure is likely be 65 – 42 = 23 years

Total Debt Servicing Ratio (TDSR) Framework – 16th December 2021

1. TDSR prevents an **individual*** from purchasing a property beyond his/her financial means.

   Note:
   - Company set up by an individual solely to buy property → **Individual**

2. Borrower = Buyer

3. TDSR calculation based on Interest Rate Floor ___ % interest rate - Residential

   Interest Rate Floor ___ % interest rate – Commercial & Industrial

100% Gross Monthly Income

45% Income (Not calculate)

55% Debts

$$\textbf{TDSR} = \frac{\text{Monthly total debt}}{\text{Gross monthly income}} \times 100\%$$

No Mortgage Loan

Definition of Debts

Most financial institution define debts in 2 manners → **Secured & Unsecured Loans**

Types of Debts	Term	Revolving
Secured	1. Mortgage/home loan 2. Bridging loan 3. Construction loan 4. Term Loan 5. Car loan	1. Secured overdraft 2. Secured credit card
Unsecured	1. Education loan 2. Renovation loan 3. Personal loans	1. Overdraft 2. Credit card 3. Charge card 4. Personal line of credit

Example 2

Husband & Wife Income: $10,000 per month
Total Debt $4,500 monthly

TDSR threshold **$5,500 (55% of S$10,000)**
This means maximum monthly repayment for next home loan cannot exceed **$1,000 ($5,500 - $4,500)**

Exemption on TDSR - 1st September 2016

TDSR rules apply to refinanced loans **except**:

Residential Property

Owner Occupied Property Loans

1. HDB Flats
2. Executive Condominium
3. Private Residential Property etc

Investment Property Loan

Conditions

1. Commits to a debt reduction plan
   - Repayment at least **3%** of the outstanding balance over **3 years**
2. Fulfils credit assessment

Bank Loans – HDB Flats & Executive Condominium

1. Mortgage Service Ratio (MSR) $= \frac{\text{Monthly Property Debt}}{\text{Gross Monthly Income}} \times 100\%$ Note: Not Exceed 30%
2. TDSR apply on HDB flats & Executive Condominium (direct from developer)
   - Banks may exclude monthly repayment instalment in respect of Borrower's outstanding credit facility for an existing Residential Property.

TDSR – Mortgage Equity Withdrawal Loan (6th July 2018)

Mortgage Equity Withdrawal Loan

- No TDSR → New loan (include existing loans) borrowed is below 50% of property value

- Conditions:
  a) 1 property and 1 outstanding loan on same property
  b) No CPF money involve in purchasing property
  c) Meet credit assessment
  d) Max Mortgage Equity Withdrawal Loan is 75% LTV
  e) More than 1 property MEWL is 45%
  f) Max Loan Tenure: 35 years

Example 3

An property owner with a $1 million home and a $100,000 outstanding housing loan.

1. He can borrow up to $400,000 without TDSR calculation.

2. 50% of property value including outstanding loan

Example 4

Same property owner wants to borrow $900,000 and $100,000 outstanding housing loan.

1. He cannot borrow $900,000, maximum $650,000 (include $100,000 existing loan)

2. He exceeds 50% threshold. $650,000 is subjected to TDSR calculation

Example 5 – Answers are given in next 2 pages

Both Singapore citizens, David and Victoria are married and buying their first 4 room new flat.
Find out the estimated loan they can get from

1. **HDB**
2. **Bank**

Information

1.	David's Age	40 years old
2.	Victoria Age	36 years old
3.	Husband & Wife Salary	Each $3500 per month
4.	Current CPF OA	$72,000
5.	Flat Price & Valuation	$500,000
6.	Maximum Loan Tenure	___ years
7.	CPF Grants	No intention to take grant

Interest: __ %   Loan Tenure: ___ years

Loan to Value: __ % of LTV   HLE: $_________

Example 5: HDB Loan Solutions

Recalled HDB Concessionary Loan = **2.6% p.a**

HDB Loan Tenure	Loan Ceiling
≤ 25 years	75% **

MSR = 30% of income
= $2100

Using Financial Calculator, MSR → Loan quantum of **$442,840** (Note: Use Interest Rate Floor – 3%)

Refer to HDB lesson, HDB will grant maximum loan amount = **75% of LTV**
= **$375,000**

Therefore, HDB will not grant **$442,840** but **$375,000**

If this couple is **using their CPF money** to purchase the HDB flat,

Purchase Price	$500,000	
	- $72,000	(Whatever amount - Down Payment using CPF)
Balanced	$428,000	
HDB Loan	-$375,000	
Top Up Cash	$53,000	

Note:

1. **75% LTV is based on 99 year lease flat**
2. **If remaining lease adds up buyer age is less than 95 years, LTV is pro-rated → Discuss in CPF topic**

Example 6: Bank Loan Solutions

If this couple takes a bank loan with interest rate of 1.5% p.a. Would the loan amount be different ?

Bank Loan Tenure (*30th September 2022*)	Loan Ceiling
≤ 25 years	75%
> 25 years or loan period extends beyond borrower's age of 65	55%

Bank Loan Interests = **1.5% p.a**

Income Weighted Average Age = **38 years old**

Estimate Loan Tenure = **65 – 38**
= 27 years (55% LTV)

Assume this couple wants maximum LTV = **75%** → **Therefore maximum loan tenure → 25 years**

a) Maximum Loan Quantum = **75% of $500,000** (Based on LTV)
= **$375,000**

b) Maximum Loan Quantum = **$442,840** (Answer derived from a Financial Calculator)
Based on **MSR** based on Interest Rate Floor **3% p.a**

c) **TDSR** Maximum Loan Quantum = **$729,392** (Answer derived from a Financial Calculator)
Assumption - **No Debt = 55% of Income** based on Interest Rate Floor **4% p.a**
Note: Why did the calculation not factoring Bank's interest rate ?
Using bank interest rate 1.5% Loan amount = $962,653

Therefore, the actual loan amount is based on LTV granted is **$375,000**

Usage of CPF money on Residential Property

1. CPF Ordinary Accounts
2. Buy residential property with **remaining lease at least 20 years** (10th May 2019)
3. CPF Housing Scheme enables to: (23rd Sept 2021)
   - Buy Housing and Development Board (HDB) flats
   - Buy or build private residential properties in Singapore

CPF OA Account can also use for:

1. Costs of the recess area outside the HDB flat.
2. Pay flat upgrading cost HDB Upgrading Programmes & Town Council Lift Upgrading Programme (TCLUP).

CPF Full / Basic Retirement Sum → ** Restriction on Property Requirement

Citizen and PR who is

1. 55 years old
2. OA & SA money → Retirement Account = **Full Retirement Sum**
3. CPF members who turns 55 years old after 1st January 202__
   - set aside **Full Retirement Sum (FRS)** of **$** ____________

CPF LIFE (Mandatory) is a national longevity insurance annuity scheme

*Lifelong monthly pay out

i. RA $60,000 → CPF LIFE

ii. Draw money at 65 years old

iii. 3 package to choose

	Standard Plan *More for self*	Basic Plan *More for loved ones*	Escalating Plan *More for future*
Monthly Payouts	Higher level monthly payouts	Lower level monthly payouts	Monthly payouts increase by 2% yearly
Bequest	Any unused annuity premium (without interest) and Retirement Account savings, will be paid to your beneficiaries upon your death.		

Note:

(i) Bequest amount differs across plan type and age of death.

(ii) As with all CPF LIFE plans, payouts may be adjusted to account for long-term changes in interest rates or life expectancy. Such adjustments (if any) are expected to be small and gradual.

OR

4. Pledge their property purchased with CPF savings

   → set aside the **Basic Retirement Sum (BRS)** of **$** _____________

5. Pledge property **remaining lease** must be **40 years**

CPF Restriction → Purchasing Property (10th May 2019)

Using CPF Money to Purchase 2nd Property

- 2nd Property
  - Remaining Lease + Age ≥ 95
    - Set aside **Basic Retirement Sum**
    - Use Balanced OA
  - Remaining Lease + Age < 95
    - Set aside **Full Retirement Sum**
    - Use Balanced OA

Withdrawal of CPF money after 55 years old

Singapore Citizen or Permanent Residents

- Purchase Property
- Outstanding Mortgage Loan
- Redeem Loan

Rule 1

Remaining Lease + Age of Mortgagor ≥ 95

Rule 2

Set aside Basic Retirement Sum

Rule 3

Use Retirement Account money to pay loan

- Apply to reserve in your Ordinary Account before your 55th birthday.
- This reserved amount will not be transferred to your Retirement Account
- Continue to use it to pay housing loan after turning 55 years old

CPF Housing Withdrawal Limits - Residential Properties

1. HDB Flats
2. Executive Condominiums
3. Private Residential Property

Reminder

HDB loans will not be granted to fund the purchase of flats with 20 years or less left on the lease

Rule 1: Property Lease $\geq$ 20 years → Allow to use CPF OA Money subjected to:

1. **Youngest Buyer's Age + Remaining Lease > 95**
2. **Types of property**

Rule 2A: BTO / SBF / Open Booking → Utilize CPF OA

1. No Loan – 100%
2. HDB Loan - Purchase Price of the flat or the housing loan taken
3. Bank Loan
   - Cannot set aside BRS → Up to Valuation Limit
   - Set BRS → Up to 120% Valuation Limit

Valuation Limit means Purchase Price or Valuation whichever is lower

CPF Housing Withdrawal Limits - Residential Properties

Rule 2B: Resale Flats → Utilize CPF OA

1. No Loan – 100% Valuation Limit

2. HDB Loan
   - Cannot set aside BRS → Up to Valuation Limit
   - Set BRS → Up to Housing Loan Taken

3. Bank Loan
   - Cannot set aside BRS → Up to Valuation Limit
   - Set BRS → Up to 120% Valuation Limit

Rule 2C: Private Property → Utilize CPF OA

1. No Loan – 100% Valuation Limit

2. Bank Loan
   - Cannot set aside BRS → Up to Valuation Limit
   - Set BRS → Up to 120% Valuation Limit

Valuation Limit means Purchase Price or Valuation whichever is lower

CPF Housing Withdrawal Limits - Residential Properties

Rule 3: **Any property**

- Youngest buyer's age + remaining lease of property < **95** years

$$\textbf{Allowable Valuation Limit} = \frac{\textbf{Remaining Lease of Property} - 20}{95 - \textbf{Youngest Age} - 20} \times 100\,\%$$

Valuation Limit means Purchase Price or Valuation whichever is lower

Example 7 from MOM and MND

Remaining Lease + Age	45 + 35 years	65 + 25 years	100 years
Maximum CPF Usage	**62.5% of VL**	**90% of VL**	**100% of VL**
HDB Loan	46.875% of LTV	67.5% LTV	75% LTV

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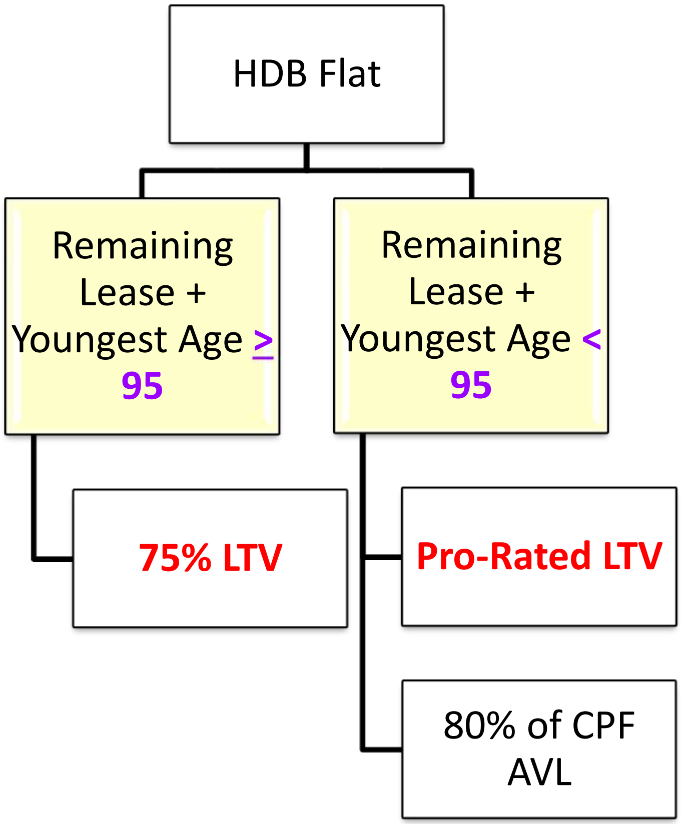
HDB Loan Quantum subjected to CPF Housing Withdrawal Limits

$$\textbf{Allowable Valuation Limit} = \frac{\textbf{Remaining Lease of Property} - \textbf{20}}{\textbf{95} - \textbf{Youngest Age} - \textbf{20}} \times \mathbf{100}\ \%$$



Example 8

Buyer's Age: 35 years old   Remaining Lease of HDB Flat: 45 years

Solution:

AVL = $\frac{45-20}{95-35-20} \times 100\%$ = 62.5%   (CPF)

HDB Loan = 75% of 62.5
= 46.875% LTV

If property is purchased at valuation $500,000,

- Buyer can use $312,500 CPF money for this flat.
- Buyer's HDB loan amount is $234,375

Example 9

Ali wish to buy a HDB flat with the following information. He wishes to use CPF money and HDB loan to finance this flat.

1. Purchase Price: $470,000
2. Valuation: $500,000
3. HDB Flat Lease: 99 year lease start from 1/1/1971
4. Ali's Birth Date: 2/2/1985

Solution:

Remaining Lease = _____ Age: _____

Allowable Valuation Limit = _____________
= ____%
→ $____________

HDB LTV = 75% of $_________
= $_______________

Example 10

Nick and Cheryl, 27 and 25 years old. They wish to buy their 1st HDB flat. Flat details as follow:

1. Valuation: $430,000
2. Remaining Lease: 65 years

AVL = ____________
= 90% → $387,000 (CPF money)

HDB Loan LTV = 75% x 90 = 67.5%
= 67.5% x $430,000
= $290,250

A. Priority Arrangements Between CPF Board & HDB

What will happen to my sale proceeds upon the sale of my HDB flat? The sale proceeds will be used to pay off in this order:

HDB flats Bought with HDB Concessionary Loan	HDB flats Bought with Bank Loan
1. Outstanding loan	1. Outstanding loan
2. HDB resale levy (if any)	2. Required CPF refund
3. Required CPF refund	3. HDB resale levy (if any)

B. Priority Arrangements Between CPF Board & Financier

When the property is sold, the sale proceeds shall be applied to repay the financier and the CPF Board in the following order of priority:

Rank	Repayment Parties	
1	Bank - Repayment of the outstanding housing loan.	
2	CPF - Principal sum up to 100% of the VL + CPF saving used to pay legal costs, stamp duty and survey fees	
3	i) CPF principal sum beyond 100% of the VL and CPF accrued interest. ii) Repayment of outstanding balance of the housing loan interests	Equal Ranking (Pari Passu) 3 & 4
4	i) Repayment of the Board's legal costs and expenses ii) Repayment of financier's legal costs and expenses	
5	Repayment of any other money owing to financier under the mortgage.	

Lesson 18

1. Property Tax
2. Stamp Duty
3. Goods & Services Tax
4. Income Tax (Rental / Trading Income)

Definition of Property Tax

What is property tax ?

1. Tax on immovable property (e.g. land, building, strata units, HDB flats)
2. Owner pays property tax at all times (e.g. vacant, occupied or rent)

Who is considered as property owner ?

1. Legal Owner
2. Person receiving rent of premises → Agent, Trustee or Receiver
3. Names registered in Valuation List
4. Subsidiary proprietor; (Strata Title Owners)
5. Lessee for a period exceeding 3 years
   a) State Lease
   b) Property by a public authority (JTC, HDB, SLA, BCA)

When does owner pay property tax ?

1. By 31st January of every year or
2. Within one month of the service of new notice

Calculate Property Tax

All property tax is calculated based on this formula:

Property Tax = Annual Value x Tax Rates

What is Annual Value ?

- Estimated Annual Property Rent assessed by IRAS Chief Assessor
- Record in Electronic Valuation List
- May not be the actual rental income received
- Excludes
  - Rental of furniture and furnishings
  - Maintenance fees e.g. MCST / Town Council Services & Conservancy Charges

Note:

Annual Value < $18 per year → no need to pay property tax → S6 Property Tax Act

Annual Value can be revised upon:

1. Completion of new building
2. Demolition / re-development of existing building
3. Change in rental market conditions.

Comptroller of Property Tax

- in charge of collection of property tax
- processing for exemption, concession, refund and remission of property tax.

Can Owners Object & Appeal Property Tax Rate ?

1. Objections can be made within 30 days from the date of the Valuation Notice.

2. Owners can object at any time if no Valuation Notice receive

3. Objection is not on the property tax rates.
    - Annual Value
    - Effective Date of Assessment

4. Either Chief Assessor / Comptroller may disallow or allow:
    - the objection in whole
    - in part
    - or in the manner agreed with the owner.

5. Owners may appeal to **Valuation Review Board (VRB)** within 30 days of IRAS's decision to disallow or partially allow the objection.

6. Any owner dissatisfied with the decision made by the board may within 21 days of the date of the decision, appeal to the High Court

7. Chief Assessor / Comptroller may within 21 days of the date of the decision of board appeal to the High Court.

Residential Property Tax Rates

Year 2025

Property Tax = Annual Value x Tax Rates

Owner Occupied Concession

Annual Value	Tax Rates
First $12,000	0%
Next $28,000	4% ($1120)
Next $10,000	6% ($600)
Next $25,000	10% ($2,500)
Next $10,000	14% ($1,400)
Next $15,000	20% ($3,000)
Next $40,000	26% ($10,400)
AV in excess of $140,000	32%

Non Owner Occupied

Annual Value	Tax Rates
First $30,000	12% ($3,600)
Next $15,000	20% ($3,000)
Next $15,000	28% ($4,200)
AV in excess of $60,000	36%

Residential Property Tax Calculation – Year 2025

Example 11 – Individual owns and stays in the apartment

Annual Value of apartment granted OOC = $30,000

Property Tax (OOC) = 4% x ($30,000-$12000)

= $720

Example 12 – Company owns apartment

Annual Value of apartment owned and occupied by XYZ Pte Ltd = $30,000

Company do not have OOC tax rate → Non OOC Tax Rates

Property Tax = 12% x $30,000

= $3,600

Residential Property Tax Calculation – Year 2025

Example 13 – Annual Value for owner occupied property

Annual Value	=	$110,000
First $12,000 @ 0%	=	$ 0
Next $28,000 @ 4%	=	$ 1120
Next $10,000 @ 6%	=	$ 600
Next $25,000 @ 10%	=	$ 2,500
Next $10,000 @ 14%	=	$ 1,400
Next $15,000 @ 20%	=	$ 3,000
Balance $10,000 @ 26%	=	$ 2,600
Property Tax (OOC)		$11,220

Example 14 – Annual Value on same property under an J Association

Annual Value	=	$110,000
1st $30,000 @ 12%	=	$ 3,600
Next $15,000 @ 20%	=	$ 3,000
Next $15,000 @ 28%	=	$ 4,200
Balance $50,000 @ 36%	=	$ 18,000
Property Tax (Non-OOC)		$ 28,800

How to qualify for Owner-Occupier Concession (OOC) tax rate ?

1. An individual or a **married couple** owned & occupied only **1 residential** property

2. **Exceptions:**
   a) Owner has > 1 lawful spouse, each occupying different property.
   b) Married couple have been separated and living apart.

3. HDB flat owners automatically qualify.

4. Owner occupied property but partially rent out or use as home-offices.

5. Demolished and Build A New House (residential & own use)
   a) OOC accorded for the duration of the works (max. of 2 years).
   b) The land is not occupied;
   c) No rent or fee is charged or received for the occupation or use of the land or any part thereof;
   d) The owner is not enjoying the owner-occupier concession on another property during the remission period; and
   e) The replacement house is owner-occupied for at least one year following the (TOP) date or the (CSC) from the Building Authority.

Other Types of Property Tax Rates

A. Vacant Lands / Under Construction
B. Non-Residential Properties
C. Serviced Apartments

Property Tax = 10% x Annual Value

Example 15 – Office Building, Service Apartment or Factory

Annual Value	= $5 Million
Property Tax (Non Residential)	= 10% x $5,000,000
	= $500,000

D. Statutory Formula for Hotels

i) AV (Hotel) = 25% Gross receipt of Hotel Rooms (Previous Years)
Property Tax = 10% of Annual Value

ii) Hotels with Food & Beverage Outlets or other lettable areas
AV (Hotel) = 25% Gross receipt of Hotel Rooms
AV (Outlets) = Based on estimated market rent
Property Tax = 10% of Total Annual Value

Assessment of Annual Value & Property Tax

E. Statutory Formula for Land AV = 5% of Freehold Value

Chief Assessor can adopt AV as above although the property may be a leasehold estate. Properties assessed under this statutory formula include vacant lands, petrochemical plants, pharmaceutical plants and oil refineries.

Example 16 - Assessment of Development Site

Freehold condominium with land area of 100,000m^2 bought via tender under a Collective Sale Agreement at $900 Millions.

Annual Value (AV) = 5% x $900 Millions (Freehold Value)
= $45 Millions

Property Tax = 10% (Tax Rate) of AV
= $4.5 Millions

Example 17 – Vacant Land

A piece of vacant residential land with an area of 1,000m^2 was sold at the market value of $2,000 per m^2.

Annual Value (AV) = 5% x ($2000 per m^2 x 1000 m^2)
= 5% x $2,000,000
= $100,000

Property Tax (Vacant Residential Land) = 10% x $100,000 = $10,000

What is Stamp Duty ?

Stamp Duty is a tax on **documents** → **immovable properties**, stocks or shares.

Who is Liable to Pay Stamp Duty ?

Types of Documents	Party to Pay Stamp Duty
1. Acceptances to OTP, S&P Agreement	1. Purchaser 2. Seller (where Seller's Stamp Duty is payable)
2. Transfer by way of gift, exchange etc. 3. Assignment	3. Transferee / Beneficiary
Mortgage Documents	Mortgagor / Borrower
Lease / Tenancy Agreements	Lessee / Tenant

Not require to pay Stamp Duty :

1. Transfer according to:
   - **A Will**
   - **Intestate Succession Act or**
   - **Administration of Muslim Law Act.**
2. Duplicate lease / tenancy agreement.

Why must pay Stamp Duty ?

S52 Stamp Duties Act states document not duly stamped is inadmissible evidence in court

When Stamp Duty Should Be Paid ?

Stamp Duty Deadlines:

1. Document sign in Singapore
   Within **14 days** after date of document

2. Document sign in Overseas Country
   Within **30 days** after receiving the document in Singapore

Penalty:

1. Delay stamp duty payment not exceeding 3 months
   - $10 or **an amount equal to the duty** payable, whichever is greater
2. Delay stamp duty payment exceeding 3 months
   - $25 or **4 times** the stamp duty payable, whichever is greater

Interesting Note:

The outstanding duty will be recovered without prior notice by:

- Appointing your bank, employer, tenant or lawyer as an agent to pay IRAS

Stamp Duty (Ad Valorem) on Purchase / Acquisition

Buyer's Stamp Duty (BSD) is applied based on **Purchase Price or Market Value; whichever is higher**

<table>
<tr><th colspan="3">BSD Rates</th></tr>
<tr><th>Purchase price or market value of the property</th><th>Residential Properties</th><th>Non-Residential Properties</th></tr>
<tr><td>First $180,000</td><td>1%</td><td>1%</td></tr>
<tr><td>Next $180,000</td><td>2%</td><td>2%</td></tr>
<tr><td>Next $640,000</td><td>3%</td><td>3%</td></tr>
<tr><td>Next $500,000</td><td>4%</td><td>4%</td></tr>
<tr><td>Next $1,500,000</td><td>5%</td><td rowspan="2">5%</td></tr>
<tr><td>Remaining amount</td><td>6%</td></tr>
</table>

On or after 15 Feb 2023

Stamp Duty (Ad Valorem) on Purchase / Acquisition

Example 18

Dennis transfer a condominium at valuation $1,100,000 to his daughter Karen as wedding gift.

First $180,000 @ 1%	$ 1,800
Next $180,000 @ 2%	$ 3,600
Next $640,000 @ 3%	$19,200
Remaining $100,000@ 4%	$4,000
Total Buyer Stamp Duty	$28,600 → Karen pays

Example 19

If Dennis transfer his office at valuation $1,100,000 instead of condominium, how much stamp does Karen require to pay ?

First $180,000 @ 1%	$ 1,800
Next $180,000 @ 2%	$ 3,600
Next $640,000 @ 3%	$19,200
Remaining $100,000@ 4%	$4,000
Total Buyer Stamp Duty	$28,600 → Karen pays

No difference in stamp duty amount whether Karen took residential or non-residential property

Additional Buyer's Stamp Duty (ABSD) on Residential Property

ABSD is based on purchase or market value, whichever is higher. 27th April 2023

Profile of Buyers	ABSD Rates		
Citizenship	1st Property	2nd Property	3rd & More Property
Singapore Citizen	0%	20%	30%
Permanent Resident	5%	30%	35%
Foreigner	60%		
Company	65%		
Company (Developer)	**5% + 35% #**		
Trustee buying residential property	**65%**		

Note:

* Buyer Stamp Duty is still payable !!!

** Free Trade Agreement → Same Treatments as Singapore Citizen

1. Nationals of United States of America
2. Nationals **or** Permanent Residents
   - Switzerland
   - Liechtenstein
   - Norway
   - Iceland

\# Developer → 35% remission (subjected to IRAS remission policy)

→ **5% compulsory ABSD payment**

Additional Buyer's Stamp Duty (ABSD) on Residential Property

THE BUSINESS TIMES

BT businesstimes.com.sg

Saturday, June 11, 2022

SINGAPORE PROPERTY

Indonesian family in exclusive due diligence to buy 22 units at Draycott Eight: sources

Price being negotiated said to be nearly S$168 million or close to S$2,570 per square foot on a total strata area of 65,401 sq ft

Two of the 3 residential towers at Draycott Eight, which was developed by Wing Tai on a 99-year leasehold site it clinched at a state tender in June 1997. PHOTO: GOOGLE MAPS

By Kalpana K Rashiwala
kalpana@sph.com.sg

A STACK of 22 apartments at the Draycott Eight condominium in prime District 10 could soon change hands.

The Business Times understands that an Indonesian family is in exclusive due diligence with a view to buying the units for a total of nearly S$168 million from US-based private equity group Angelo Gordon.

The price works out to slightly below S$2,570 per square foot (psf) based on a total strata area of 65,401 square feet (sq ft), said sources. Draycott Eight is a 136-unit condo on a site with a balance leasehold tenure of about 74 years. It received a Temporary Occupation Permit in 2005.

Angelo Gordon's 22 units comprise 21 four-bedroom apartments, most of which are around 2,900 sq ft each, and a duplex penthouse of 4,069 sq ft.

The units are fully leased and their rental income is said to reflect roughly 2.5 per cent gross yield on a price of S$168 million. Observers say there is potential for the units to fetch higher rents upon lease renewal, given the current tight leasing market for large, 4-bedroom units of about 3,000 sq ft and above in the posh Ardmore/Draycott location.

Michelle Lek of Quillion Global, a real estate investment advisory company serving ultra-high-net-worth clients, is understood to be acting for the buyer.

Angelo Gordon is believed to have bought the units for under S$2,000 psf in 2017 from a fund managed by Alpha Investment Partners.

Draycott Eight was developed by Wing Tai on a 99-year leasehold site that it clinched at an Urban Redevelopment Authority tender that closed in June 1997, just before the Asian Financial Crisis erupted. Its winning bid for the plum site worked out to S$1,103.60 per square foot per plot ratio.

The project has 3 residential blocks of 24 storeys each and a distinctive clubhouse in a large black-and-white conservation bungalow.

In 2006, Wing Tai sold all 46 units in one of the blocks to Forum Capital Partners for S$214.92 million or S$1,572 psf on a total strata area of 136,716 sq ft. The following year, Forum Capital sold the units to 2 funds managed by Morgan Stanley, with each fund picking up a stack of 23 units at an identical price of S$2,600 psf. The funds sold their respective stacks at different times, both at below their purchase price.

One of the funds sold its 23 units to a fund managed by Alpha Investment Partners in 2010 for S$2,300 psf or slightly more than S$157 million. In late 2012, the Alpha fund sold one of the units, a 4-bedroom apartment on the eighth floor, for S$7.18 million or S$2,480 psf, leaving it with the 22 units that it later sold to Angelo Gordon.

The other Morgan Stanley-managed fund divested its 23 units in 2015 for S$2,180 psf to a vehicle controlled by the family of Dennis Chiu, an executive director of Far East Consortium International of Hong Kong.

Angelo Gordon's 22 units are expected to be transacted through a sale of shares in the company owning the units. Market observers suggest that the buyer is unlikely to incur additional conveyance duty (ACD) akin to the additional buyer's stamp duty for the purchase.

Due to multiple layering in the existing holding structure for the asset involving Singapore as well as overseas-incorporated entities, the transaction may not fall under the existing provisions of the ACD legislation.

ABSD – Count Number of Residential Property Owned

ABSD tax based on count of property owned inclusive:

1. Contract or Agreement
   - Including property not transferred but under contract
   - E.g. Uncompleted unit from developer → S&P signed

2. Partial or Joint Ownership
   - E.g. 1% ownership of a property → 1 property

3. Ownership of Partial or wholly residential units or buildings

4. Multiple purchase under 1 contract
   - Each property will be counted as a separate property.
   - Buyer may choose any one of the properties to include in the property count that is not subject to the ABSD or subject to a lower ABSD rate

Note:
Residential properties gazette for compulsory acquisition are **excluded.**

Application on ABSD

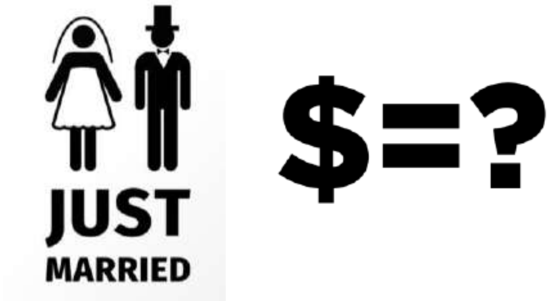
1. Definition of Residential Property
   Master Plan Zoning
   a. Residential
   b. Residential with commercial at 1st storey **
   c. Commercial & Residential **
   d. White
   e. Residential / Institution

2. ABSD applies if acquire through
   a) Direct purchase
   b) Gift
   c) Declaration of trust where the beneficial interest in the property is vested in the beneficiary
   d) Exchange

ABSD on Different Residency Status of the Buyers

1. Co-purchasers **with different citizenship**
   - Higher applicable ABSD rate will apply.
   - E.g. SC & Foreigner → **60%**

2. Married Couple Purchaser (SC & SC, SC & PR, SC & Foreigner)
   - Rule No. 1 still applied !
   - Apply for Remission or Refund



Remission:

A. Applicable to cases with Singapore Citizen Spouse
B. Purchase 1st Residential Property

ABSD Refund:

Family:

1.1 Applicable to cases with Singapore Citizen Spouse
1.2 Purchase 2nd Property & paid ABSD
1.3 Sold 1st Residential Property within 6 months
1.4 Couple did not further purchase any residential properties thereafter

55 years old Single Singapore Citizen – 16th Feb 2024

2.1 Current Private Residential Property Owner
2.2 Purchase lower value private residential property
2.3 Sold 1st Residential Property within 6 months and did not purchase any residential properties thereafter

<u>ABSD Remission - Developers</u>

1. ABSD remission if developer is constituted as a <u>company</u> and undertaking as follows:
    - Sale License Developer to complete and sell all the units within 5 years
    - Non-Sale License Developer (for developments with 4 or less units) to complete and sell all the units within 3 years
   - Produce Qualifying Certificate and housing developer’s license within 2 years from the date of contract
   - Produce proof of piling and foundation works and any demolition works within 2 years of the date of contract.

2. ABSD payable immediately upon expiry of the stipulated periods → **5% + 35% with interests**

3. Developers acquired residential properties with no intention to undertake housing development pays ABSD rate of 35%

ABSD Remission – Developers – 16th Feb 2024

Proportion of Units Sold (%) (rounded down to nearest whole %)	Projects with residential land acquired between 6 Jul 2018 and 15 Dec 2021, subject to 30% ABSD with upfront **25% remission** Applicable ABSD Remission Clawback[2]	Projects with residential land acquired on or after 16 Dec 2021, subject to 40% ABSD with **upfront 35% remission** Applicable ABSD Remission Clawback[2]
100 (no change)	0	0
99	15	25
98	16	26
97	17	27
96	18	28
95	19	29
94	20	30
93	21	31
92	22	32
91	23	33
90	24	34
<90	25	35

Seller's Stamp Duty (SSD) - Residential Property

SSD is **payable** if purchased residential property was sold / disposed* within

On and after 4th July 2025

Holding Period	SSD Rates **
1st Year	16%
2nd Year	12%
3rd Year	8%
4th Year	4%

** SSD is based on actual price or market value, whichever is higher.

*Acquisition or disposal includes:

1. Transfer made by way of collective sale (See Note 1)
2. Mortgagee Sale (See Note 1)
3. Gift or Exchange
4. Under declaration of trust where the beneficial interest in the property passes to the beneficiary.

Note 1:

The following are **exempted from SSD:**

a) Residential properties gazette for compulsory acquisition

b) Bankruptcy or involuntary wind up

c) Inheritance – Date of original purchase by the deceased exceed SSD period

Seller's Stamp Duty (SSD) - Residential Property

Definition

1. **Date of Purchase** = Date based on buyer exercises OTP or S&P Agreement, whichever earlier.
2. **Date of Sale** = Date based on **next buyer** exercises OTP or S&P Agreement, whichever earlier.

12th Mar 2017 — Seller Alex grants Option to Purchase to Jason

26th Mar 2017 — Jason **exercises** Option to Purchase (**Date of Purchase**) in reference of Jason

1st Jan 2020 — Jason grants Option to Purchase to Buyer Z

19th Jan 2020 — Buyer Z **exercises** Option to Purchase (**Date of Sale**) in reference of Jason

In this case, Jason is required to pay **SSD – 4%** because buyer Z exercise the Option to Purchase within the penalty period

Seller's Stamp Duty (SSD) - Industrial Property

Industrial Property (B1/B2) bought/acquired* on or after 12th Jan 2013. SSD payable if such property is sold of within **3 years**.

Holding Period	SSD Rates **
1st Year	15%
2nd Year	10%
3rd Year	5%

SSD is based on actual price or market value whichever is higher.

*Acquisition or disposal includes:

1. Transfer made by way of collective sale
2. Mortgagee sale
3. Gift or exchange
4. Under declaration of trust where the beneficial interest in the property passes to the beneficiary.

Note 1:

The following are **exempted from SSD:**

a) Residential properties gazette for compulsory acquisition
b) JTC Enbloc Redevelopment Scheme / JTC Selective Buyback Scheme
c) Bankruptcy or involuntary wind up
d) Inheritance – Date of original purchase by the deceased exceed SSD period

Seller's Stamp Duty (SSD) - Industrial Property

Definition

1. **Date of Purchase** = Date based on buyer exercises OTP or S&P Agreement, whichever earlier.

2. **Date of Sale** = Date based on **next buyer** exercises OTP or S&P Agreement, whichever earlier.

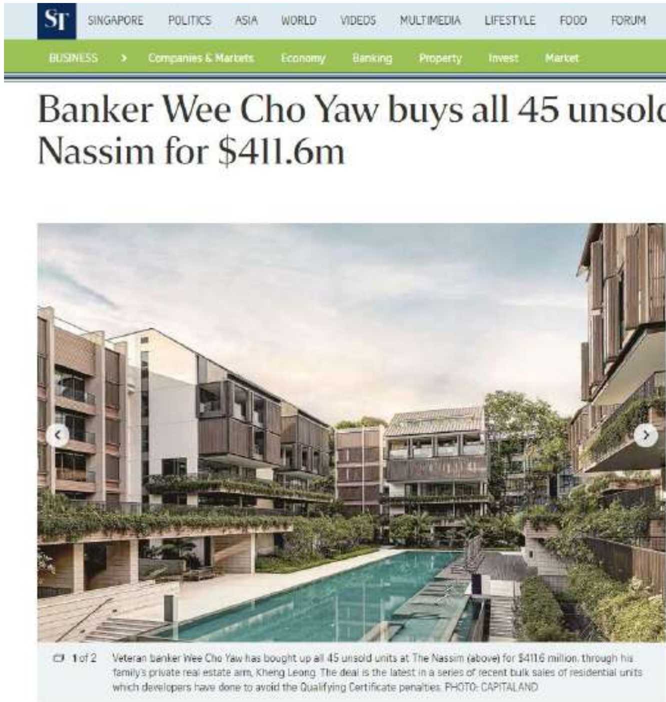
1st Jan 2016
Seller MNO Pte Ltd grants Option to Purchase to Buyer ABC Pte Ltd

21st Jan 2016
Buyer ABC Pte Ltd **exercises** Option to Purchase (**Date of Purchase**) in reference of Buyer ABC Pte Ltd

1st Jan 2019
Seller ABC Pte Ltd grants Option to Purchase to Buyer XYZ Pte Ltd

19th Jan 2019
Buyer XYZ Pte Ltd **exercises** Option to Purchase (**Date of Sale**) in reference of Seller ABC Pte Ltd

In this case, Seller ABC Pte Ltd is required to pay **SSD – 5%** because buyer XYZ Pte Ltd exercised the Option to Purchase within the penalty period



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BUSINESS > Companies & Markets Economy Banking Property Invest Market

Banker Wee Cho Yaw buys all 45 unsold units at The Nassim for $411.6m

1 of 2 Veteran banker Wee Cho Yaw has bought up all 45 unsold units at The Nassim (above) for $411.6 million, through his family's private real estate arm, Kheng Leong. The deal is the latest in a series of recent bulk sales of residential units which developers have done to avoid the Qualifying Certificate penalties. PHOTO: CAPITALAND

Introduced on 11th March 2017

GONE!

Assuming there is

BSD = (3% x $411.6M) - $5400
= $12,342,600

ABSD = 15% x $411.6M
= $61.74 Millions

Total Stamp Duty = $74.0826 Million

The Nassim from CapitaLand for S$411.6 million. The deal was made through the purchase of a 100 per cent stake in Nassim Hill Realty

Stamp Duty for this deal = 0.2% x $411.6 millions
= **$823,200 → Good Deal !!!**

Read it yourself with Ladybird

Additional Conveyance Duties – Residential Property-Holding Entities (PHE)

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BUSINESS › Companies & Markets Economy Banking Property Invest Market

CDL exits entire investment in Summervale Properties, owner of Nouvel 18 condo, for $977.6m

PUBLISHED OCT 21, 2016, 9:24 AM SGT | UPDATED OCT 21, 2016, 9:27 AM

Ann Williams

SINGAPORE - City Developments announced on Friday (Oct 21) that its wholly owned subsidiary, Sunmaster Holdings, has entered into an agreement to exit its entire interest in Summervale Properties, which owns Nouvel 18, a 156-unit luxury, freehold condominium on Anderson Road, for S$977.6 million.

CDL said that by the move it has unlocked value in Nouvel 18 through its third Profit Participation Securities (PPS) platform. It will not hold any interests in the ordinary shares and preference shares in Summervale after the transaction is completed.

Summervale will raise S$977.61 million via the PPS transaction through the following sources:

Suppose there is SSD
SSD = 16% x $977.6M
= $156.416 Millions

Stamp Duty for this deal
= 0.2% x $977.6M
= $1.955 Millions

July 2015, Wing Tai Holdings sold its share in its joint venture company Summervale Properties, which developed the Nouvel 18 condo, to City Developments for $410.96 million.

In October 2016, CDL then offloaded Nouvel 18 to a group of Singaporean investors via a S$977.6 million profit participation securities platform

Read it yourself with Ladybird

Additional Conveyance Duties – Residential Property-Holding Entities (PHE)

What is a PHE (Property-Holding Entity) ?

- Company
- Owns Singapore residential properties (primary tangible assets)

Application of Additional Conveyance Duty (ACD)

1. Either a person or company is buying or selling shares or units ("equity interests")
2. Sale or Purchase of residential real estate in property-holding entities (PHE)
3. Current owners of PHE or who become one after the purchase

Additional Conveyance Duties for Buyers (ACDB):

- Existing Buyer's Stamp Duty at 1% to 6%
- Additional Buyer's Stamp Duty at 65% (flat rate) with BSD – 27th Apr 2023

Additional Conveyance Duties for Sellers (ACDS):

- Seller's Stamp Duty at 12% (flat rate within 3 years)

Note:

Stamp Duty for Shares - 0.2% of the purchase price or the value of the shares shall apply

Mortgage Stamp Duty

Document	From 22 Feb 2014
Mortgage	0.4% of the loan amount granted on the mortgage (subject to a maximum duty of $500)
Variation to Mortgage	0.4% of the loan amount granted on the mortgage (subject to a maximum duty of $500)
Equitable Mortgage	0.2% of the loan amount granted on the mortgage (subject to a maximum duty of $500)
Transfer, Assignment or Disposition of any Mortgage or Debenture	0.2% of the amount transferred, assigned or disposed, inclusive of interest which is in arrears (subject to a maximum duty of $500)

Example 20 – Maximum Capped

For a fix mortgage loan of $500,000, stamp duty is $ 500

Example 21

For a fix mortgage loan of $80,000, stamp duty is $ 320

Lease Stamp Duty

Average Annual Rent (AAR)	Lease Duty Rates
AAR does not exceed $1,000	Exempted
AAR exceeds $1,000	
Lease period of 4 years or less	0.4% x Rent Rate x Total Months
Lease period of more than 4 years or for any indefinite term	0.4% x 4 x Annual Average Rent

AAR refers to the higher of the average annual contractual or annualised market rent and includes other considerations such as payments for:

1. Advertising and Promotion charge
2. Furniture / Fittings charge
3. Maintenance charge
4. Service charge
5. Any other charges, excluding GST charges

Lease Stamp Duty

Example 22

Office is leased for 6 months at $2,000 per month. Rental of furniture is $200 per month. Maintenance charge to MCST is $100 per month.

Rent	$2,000
Furniture rent	$ 200
MCST charge	$ 100 * Contract required tenant to pay for this charge
Total	$2,300 per month

Stamp duty = 0.4% x ($2300 x 6)
= $55.20
= $55 (rounded down to the nearest $)

Example 23

Both Landlord and Tenant agreed to a 3-year lease on staggered rent as follows:
1st year rent $2000 per month;
2nd year rent $2500 per month;
3rd year rent $3000 per month.
Calculate the stamp duty payable.

Stamp Duty = 0.4% x ([$2,000 + $2,500 + $3,000] x 12)
= $360

Lease Stamp Duty

Example 24

A hawker rents a stall from Kopi-Tiam at a monthly rent of $3000 plus additional rent based on 10% of his monthly sales turnover. Annual Sales Turnover is $240,000. The lease is for a term of 5 years.

You are advised to estimate a rent which is reflective of market rent.

Average Monthly Sales Turnover	= $240,000 ÷ 12 months = $20,000
Estimated rent per month	= Basic Rent + 10% of monthly sales turnover = $3000 + (10% x $20,000) = $5000
Annual Average Rent	= $5000 x 12 = $60,000
Stamp Duty	= 0.4% x 4 x $60,000 **=** $960

Good and Services Tax on Property

Charging GST on:

1. The sale and lease of **residential** properties are **exempted** from GST
2. The sale and lease of **non-residential** properties are **subjected** to GST

3. For properties with residential & non-residential portions:
   → GST are **charged** on the non-residential portion only

4. Furnished Residential Properties, GST are **charged** on **supply of movable furniture and fittings**

5. However, **fixtures** such as built-in cabinets and wardrobes, kitchen and sanitary wares, wall-mounted air conditioners that are attached permanently to the residential property can be exempted from GST together with the property.

FAQ

Q1 . Do I have to account for GST on the sale of a furnished residential property?

a) Sale of bare residential property is not subjected to GST as it is an exempt supply.
b) However, GST is chargeable on the supply of any movable furniture and fittings.
c) Apportion the selling price of furnished residential property based on:
   - Value of furniture and fittings based on its open market value or cost (subject to GST); and
   - Value of the bare property (not subject to GST).

Good and Services Tax on Real Estate

Q2. Do I have to account for GST on the lease of a furnished residential property?

a) The rental of the bare residential unit is exempt from GST. However, you need to charge GST on the rental of the furniture and fittings.

b) To compute rental value of bare residential unit, the annual value of the property is used.

c) Monthly rental value of the bare unit shall be taken as 1/12 of the annual value of property.

d) Monthly rental value of the furniture and fittings will be:
the difference between the monthly gross rent and 1/12 of the annual value of the property.

See examples on next slide

Note:

If the actual gross rental is lower than 1/12 of the annual value of the property, you do not need to charge GST on the rental of furniture and fittings.

GST on Lease of Furnished Residential Property

Compute the GST payable	Per Month
Rental of Flat	$3,500.00
Rental of Furniture & Fittings	$1,700.00
Maintenance Fee	$ 300.00
Total Gross Rental of Furnished Flat	$5,500.00

Annual Value (AV) in the Valuation List is $36,000

Value of exempt supply
= AV / 12
= $36,000 / 12
= $3,000 per month

Value of supply of furniture & fittings (subject to 9% GST)
= Total gross rent less rent exempted
= $5,500 - $3,000
= $2,500 per month

GST on Furniture & Fittings
= $2,500 X 9%
= $225 per month

Therefore, the rental of furnished residential property inclusive of GST
= $5,500 + ($2,500 x 9%)
= $5,725 per month

Rental Income → Subjected to Income Tax

Definition - Rental Income

1. Full amount of rent
2. Related payments receive includes maintenance, furniture and fittings.

Note:

3. Rental income is subjected to income tax up to **24%**

Rental Income
+ Other Related Income
- Expenses

Net Income (Taxable)

4. **Claimable Expenses** Against Rental Income
   a) Housing Loan
   b) Property Tax
   c) Fire Insurance
   d) Repairs
   e) Maintenance
   f) Costs of Securing tenant
   g) Costs of Supervision or management fees
   h) Furniture Fittings
   i) Internet Charges / Expenses
   j) Utility Expenses
   k) Expenses incurred on properties that are not generating rental income

Rental Income → Subjected to Income Tax

5. Joint Owners of Rented Property

a) Rental income is taxed on all the joint owners based on their legal share in the property

b) It does not matter which party receives the rent or whether the owners paid for the property

c) Rental loss is also apportioned to joint owners **based on their legal share in the property**

Capital Gains from Sale of Property

General Rules

1. Not taxable generally as they are capital gains.

2. They are considered taxable income when a person is deemed to be trading in properties.

3. IRAS looks at individual circumstances.

Examples of criteria used to assess if one is trading in properties are:

- Frequency of transactions (buying and selling of properties)
- Reasons for acquiring and selling of property
- Financial means to hold the property for long term
- Holding period

Case Study: Capital Gains from Sale of Property

1. Property Traders subjected to capital gain tax

2. Are you one of them ?

THE STRAITS TIMES

Couple to pay tax on $16m profit from selling bungalows

They fail in court appeal to have profit from three properties declared as capital gains

K.C. Vijayan
Senior Law Correspondent

PUBLISHED APR 4, 2018, 5:00 AM SGT

A wealthy couple who made some $16 million from buying and selling three good class bungalows (GCBs) within six years will have the profits taxed as income earned.

The couple, whose names were redacted in court papers, had failed in their court appeal to have the profits declared as capital gains.

While capital gains are generally not taxable, the Inland Revenue Authority of Singapore (Iras) will also determine if the sellers are in fact trading in properties by considering factors such as frequency of transactions and the holding period of the properties.

In life, there is no shorter route in learning and being successful.

Both require sweat, determination and hard work.

With this tough journey, you will always be plentiful

Lecturers

Singapore Estate Agents Association

END